WHAT WOULD JACKSON DO? (Guest: Marvin Barth)

Podcast: Market huddle

AI Executive Summary

1. Core Thesis Marvin Barth argues that the Trump administration, driven by Jacksonian populist principles rather than pure market economics, will lead to significant fiscal consolidation and central bank deregulation under Kevin Warshâ€™s leadership. Contrary to mainstream fears of a hawkish Fed suppressing the economy or persistent inflation, Marvin predicts Warsh will reduce the Fed's balance sheet and relax banking regulations (Basel III) to benefit capital flows, while simultaneously implementing tax policy tilting toward progressivity offset by regressive tariffs. This period marks a geopolitical realignment where the U.S. secures favorable energy trade with Canada and faces less isolation than Europe, which suffers from unsustainable debt, energy inefficiency, and political fragmentation.

2. Key Arguments & Data

3. **Kevin Warsh Prediction:** Marvin correctly predicted (prior to the 2024 election) that Kevin Warsh would be selected as Fed Chair. He based this on Warsh's alignment with Trump's Jacksonian base priorities: controlling inflation, reducing deficits, and opposing centralized finance (Warsh is historically hawkish regarding GDP growth).
4. **Fed Policy Errors & Consensus:** Marvin was wrong about the June meeting where Warsh hesitated to hike rates despite expectations of a 50bps increase. He argued Warsh prioritized political maneuvering before midterms over inflation concerns. By September, Warsh successfully achieved a unanimous committee vote despite earlier hesitation, signaling a shift toward consensus policy.
5. **Deregulation & Balance Sheet Reduction:** The U.S. administration's goal of reducing the Fed balance sheet is achievable by deregulating banking capital requirements (Basel III accords). This requires adjusting the Leverage Ratio, Risk-Weighted Capital Ratio, and Liquidity Coverage Ratio, effectively allowing banks to hold fewer reserves without Treasury holdings.

6. **Fiscal Consolidation:** With Republicans controlling or nearing control of Congress in the 2026 midterms, fiscal discipline will return. Real government spending has decreased for the first time since the 1960s. Tax policy will favor the bottom 90% (cutting overtime/tips) offset by tariffs/VAT on the top earners.
7. **Midterm Election Outlook:** Polling data shows significant bias, but adjusting for voter participation and polling air suggests Republicans may retain House/Senate control despite being outnumbered in polls due to "polling bias" adjustments.
8. **Global Economic Realignment:** North America (US/Canada) and Asia are economically and politically aligned with the U.S., while Europe is isolated and struggling. Europe faces unsustainable debt growth from green energy programs (Merkel era legacy), high energy costs destroying manufacturing competitiveness, and lack of growth potential due to AI reliance on US compute infrastructure.
9. **US-Canada Relations:** While Canadian Prime Minister Pierre Poilly Carney (Mark Carney) is personally disliked by Marvin, his policies align perfectly with U.S. interests regarding pipelines and energy resource acquisition, benefiting the U.S. in the short term while expanding supply for Western allies in the long run.

10. **Investment Implications:** The U.S. Treasury curve has converged toward 5%, reflecting rising real rates due to fiscal uncertainty globally. A buy opportunity exists on US long-term bonds vs. European debt.

11. Actionable Takeaways

12. **Asset Allocation:** Position portfolios with a heavy emphasis on U.S. long-dated Treasuries given the term premium rise and expected higher real interest rates compared to Europe's stagnation.
13. **Fed Policy Expectations:** Anticipate Fed balance sheet reduction through regulatory adjustments rather than just rate hikes, which could lead to increased lending capacity for the banking sector despite reserve scarcity concerns.
14. **Tax & Spending Watch:** Monitor tax policy shifts that favor income inequality (progressive tax vs. regressive tariffs) and watch for

potential federal spending cuts on entitlements, particularly within the context of a unified Republican Congress post-midterms.

15. **Geopolitical Exposure:** Reduce exposure to European equities due to structural growth stagnation and energy inefficiency; maintain alignment with US-centric asset classes as global capital competition intensifies.

Full Transcript

It's Friday, October 9th, 2026, and I'm Kevin Muir. I'm flying solo today as my international man of mystery partner is traveling to South America. But have no fear, we have a terrific guest to take Patrick's spot. It's my great pleasure to welcome to the show Marvin Barth. He is the author of Thematics Markets, his institutional grade research. And seriously, Marvin, his free non-consensus thoughts on markets and the global economy. Marvin, thanks for making time for us.

Kevin, thank you for having me back on. I really enjoy your podcasts. I'm sorry that I'm going to miss Patrick. So I want to start off and for anybody who didn't have the pleasure to go and listen to your previous episode that you were on the show, I highly suggest you go listen to it because at the time you made a call that seemed so outrageous. So, non-consensus, exactly that. And I just want you to know that our listeners, they're a smart bunch, because when it happened, when it surprised everyone, everyone came back to me and said, Marvin called it, Marvin called it. They all were there and they didn't forget. And what I'm talking about, of course, is the fact that Kevin Warsh as Fed chair, now it seems so obvious and so clear. But back then, when you said that it was going to happen, he was what?

One in 20 chance. Yeah being one in 10 very low, right? Nobody thought he was there and you were insistent. It's gonna be Kevin Warsh You went out you stuck your neck out and it ended up being true walk us through that call why you were so confident and Maybe that from there will leapfrog into what what it means for markets going forward Well, yeah, I think the leapfrogging part is important because the evolution over the last three Fed meetings has also been really interesting and while I nailed the June meeting, I got the July meeting disastrously wrong. And so it's like, okay, well, what happened there, Marvin? So let's start with, you know, why was I so confident that Kevin Warsh was going to be the pick? So some of this will Strain the credulity of some of the more anti-trump listeners out there, but you know You you know me I try and Well, I think I seem to come across very pro-trump because many of my calls seem to agree with a lot of the things that are happening with him I I really honestly try to be an

analyst and get the market call, right? So it's really digging into, okay, what makes this man tick? What makes it think? And I think we talked a bit about in the past how he is an absolute manifestation of Andrew Jackson and Jacksonian populism. So there's a very long American tradition of this. I mean, and it goes right down to his personalities. Personality is very much like Andrew Jackson. And so, Whenever you have one of these conflicts where Trump is saying this over here and saying this over here, my sort of framework is what would Jackson do? Right? So, you know, what would Jesus do? Well, in this case, WJD is what would Jackson do? Right? And, and because ultimately one, I think he is instinctually Jacksonian, but two, that is where his base is.

His base is is naturally Jacksonian. And so whatever he's saying is a lot of rhetorical tricks or just, you know, frankly, Trump craziness sometimes. And go to your base case, the sort of mean reversion is he's going to be that Jacksonians are naturally conservative, right? And if you look at what Trump's base wanted, Trump's base, their top issue, and this is really interesting. This is going to be important for thinking about post midterms. top two issues among Trump voters in 2024 were number one, inflation. Number two, the federal deficit and spending, right? So I just, you know, one assumed he would, despite his rhetoric, he was ultimately always going to lean in favor of the the person who is going to be a hawk and not only a hawk, but the other thing, what is Jackson most famous for Jackson is most famous for killing the second bank of the United States. Jacksonian populism is highly, highly distrustful of centralized finance and they dislike central banks in particular. So if you think about, I'm sorry to interrupt, but for those, for those that are.

Naught is familiar and I would include me in there as a what are you like a Canadian or something? Tell us a little bit about Jackson and and and just give us because you say that you know Trump is very Jacksonian You know who was Jackson? When did he when was he president and what were the underlying, you know tenants of his philosophy? Yeah, so Andrew Jackson interestingly was the founder of the Democratic Party He was the seventh president of the United States. He was president from, was it 1828 to 1836. He ran in the 1824 election, and what will sound very familiar, he said that that election was stolen from him. Which, you know, to be fair to him, It

was the only election in history where you actually had a three-way race between presidents. Nobody won a majority in the electoral college. And it was, that's the only election that was decided in the House of Representatives. And actually Jackson had a fair claim that, you know, Adam's colleagues did rob him of an election. So, you know, but anyway, so you start there.

He was called the first populist in modern history. He really was the common man president. He rejected the bureaucracy in Washington. All this starting to sound familiar here. He was crude. He was lewd. Everybody thought he was bringing the presidency down. Um, after his inauguration, a four day open house at the White House where he invited literally anyone and anyone who wanted to come in and people were like peeing on the walls. It was, I mean, it was exactly as you would expect. Um, you know, he was, uh, you know, on, on, on the bad side of the ledger, like most people from, you know, uh, white. elite Southerners from Tennessee, he was a slave owner. Okay. But on the good side of the ledger, he was the one who expanded suffrage. Yes, he only expanded it to all white men. But that was a huge step up from all white men landowners, right? So he was massively expanding the suffrage.

during his presidency. As I mentioned earlier, he was very much against centralized finance. The U.S. had what was called the second bank of the United States. It was their second attempt at a central bank. It needed to come up for rechartering, and he vetoed it and blocked, you know, he overrode the House and the Senate. I think twice actually and vetoed it. They could not get a veto proof majority to overrule him. The Federal Reserve wasn't the first attempt. This was not the first attempt. America has a very long history of this and Jackson was a critical player in this. There was a first bank in the United States, Alexander Hamilton was behind that, you know, of Hamilton musical fame. I can't remember how that demise, but then they created the second and Andrew Jackson definitively killed it. And I believe it was 1832. And so we didn't have a central bank until the creation of the Federal Reserve. Federal Reserve back 1913, it comes into existence in 1914.

He was also, by the way, I mean this is another really important thing about Jacksonian. He was... So there are so many parallels with Trump, it's unbelievable. Like, he was all about, look, the only person in all of America in the US system who is elected by every single American is the President of the United States. So that is the democratic voice of the whole country, right? And that voice is responsible. Look at the Constitution. The Constitution vests the president with executive power, not the executive branch, the president, because that's the person who's elected. So he was famous for like overruling his cabinet. He had the so-called kitchen cabinet, which was his informal group of advisors and he'd run things out of the White House very much like the Trump administration.

and very distrustful of and contemptuous of the bureaucracy. Hey, you guys didn't get elected. I'm the guy who got elected. You work for me. You do what I tell you to. And then this whole thing about corruption, like this is actually what's really interesting. Jackson actually wasn't the originator of this quote. It was a senator who was aligned to him, whose name escapes me. But it defined Jacksonian's approach to this. which was to the winner of the spoils was the quote. And the idea was is that corruption was okay as long as it was aligned with the voters because that incentivize you to stay with the voters and to do what they wanted. Otherwise, they're going to kick you out of office and take it away. And so if you think about all the corruption associated with Trump, the difference In my view, and this may be a partisan view or otherwise, because I always have viewed the Democrats as very much the party of institutionalized corruption, is that the difference is, you had just as much corruption in my view under Obama, under Biden, under Clinton. No, absolutely.

But it's just institutionalized. It's hidden from you. The thing that's that's unique about Trump, and it's not unique. It is very Jacksonian is it it's in your face for a reason. It is supposed to be that way. Now. By the way, I don't agree with that philosophy. So let me make that very clear. I don't like any form of corruption. Right. But if I had to choose between corruption that's hidden from you versus, you know, that's all about subsidies to this company or that group, which absolutely happened. I mean, look, we can go to chapter and verse through Republicans and Democrats, frankly, pre-Trump. We're all doing this versus Trump's right in your face. throwing it

into his own genes like there's never been like someone that's come out of it and yes presidents you know so obama goes from being worth five million to a hundred million or whatever the number is but it's kind of you know trumps like basically in another league in terms of but listen let's not let's not focus on that yeah but that gives you a sense of jackson terrific that's a great thing so let's go back to your call And you said, so it's going to be worse. Yeah. And why was it going to be so for, for, for two key reasons. So, you know, one, what his populist voters really wanted, which was inflation controlled and to this, this dislike of central banks. So go out there and look at, well, who out there fits that profile? Well, there's this guy who literally resigned as a Fed governor over the Fed extending its balance sheet.

and getting more involved and becoming more centralized. And he said at the time, if you go back and read the, um, uh, the transcripts of those meetings, he warned the rest of the committee, this will come back and bite you politically. You do not want to do this, right? So Right there, he fits the Jacksonian profile. He has been consistently a hawk. This BS crap about how he's vaccinated with, you know, whoever was presidency. That is completely erroneous, you know, coincidental data. Go back and actually map those. those natural language processing, um, uh, of his speeches is not against who's president, but match it against GDP growth. Perfect fit to GDP growth. It was when the economy was going downhill, he said, Hey, yeah, cut rates when we was booming. He said, raise rates. The guy's a hawk. No question. So all of those things fit there. And then there's the third one, which is, and this is one of those ones that again is going to incense a lot of people.

But, you know, Trump, whatever you want to say about him, he is very mafiosy and he is actually very loyal to people who are loyal to him. And Kevin Warsh has been loyal to him throughout. And he was from the very first days before the election was actually sealed. That was the guy Trump was talking about is going to be the head of the central bank. So you put those three things together. It was no brainer that he was going to be the pick. Right? Then fast forward to July or excuse me, the June meeting. We can talk about that. Right. So let's do that. So, and by the way, I hope you nailed it on the poly market or whatever, because you could get really

cheap. But anyway, it's terrific call. And then I just want you to know that our listeners did not forget that because you were, I don't think there was anybody out there that was like, literally it was, he was a long shot. Everyone was talking about, you know, who was the leading time? Who was the leader at the time? It was Kim and Hassett.

Kevin Hassett for a long time, I think. And then there was somebody else that was somebody... Oh, Zervos. It was a joke for a while. Oh my God. God, what a disaster that would have been. That's okay. Now he's helping El Besant. All right. So let's talk a little bit about the current state of the Federal Reserve. And the fact is that the market, I think it's really interesting because if you talk to equity folks, They're actually very much of the opinion that Borscht is ultimately going to do Trump's bidding and be a dove. Like it's actually really, it's really funny. And then you have the fixed income folks that are, they go back and forth between, I sure hope he's as hawkish as he says, because that's actually what we need to control inflation. And so they get all excited. They buy the long end. They flatten the curve whenever he starts talking.

uh hawkish and then he comes and he's kind of all over the map the next one he doesn't raise rates like I personally believe that it was dumb to raise rates this last meeting he should have raised them the previous meeting um he had he came out he was more hawkish on the first meeting if you remember so he does the first one surprises the market with you know talk about achieving target with 61 months since we've been an inflation target he's very hawkish He then has a chance in what is that August or is it July? I guess it's July meeting July meeting where it's the second meeting. He had just talked to the hawkish. He could have gone and raised rates there and he should have. And to me, I was like, if you're going to raise rates, this is when you do it. You don't do it right in front of the midterms. You do it right now. When you come out in your hawkish and then you sit there and you step back and you have a look at, he doesn't raise rates then. Then what happens is the worst things happen in that we get all this, you know, hot numbers and he has to raise rates in September. You say you got it wrong in terms of him raising this last one. Explain to me what you're thinking was, why you got it wrong and how you interpret what's going on at the Fed and with Kevin Warsh. So actually September, I didn't necessarily get wrong. I

didn't have a high conviction call. I said, depending on how CPI comes out, he'll probably do 25.

In that sense, I was like, I got, I got, I got, I got July totally wrong. Oh, you're saying, oh, I'm sorry. I understand that. So you were with me that you thought he was going to raise rates in July. Yeah. So, so, so go, go, go take a step back to your previous question about how I picked him. Remember going into the June meeting, everybody thought he was going to be to, you know, Elizabeth Warren's ridiculous comment, you know, Trump sock puppet. And which, by the way, that was ridiculous. Like this guy is a young, good-looking, super rich guy. Yeah. He's just going to do Trump's bidding. Hell no. He's interested in his own reputation in history. Like he's got seven years at the Fed. He's going to have three under another president or whatever, four under another president. Yeah. No, I'm with you though. So it was no brainer to me. He was going to come out absolutely hawkish. Um, but.

his conundrum was that inflation at that no question moving against them, right? And to my previous calls, you know, I've been highlighting this investment boom is way broader than AI and AI just accentuates it. The U.S. economy, it was going to be on fire. inflation did start coming back at the beginning of all these things. You look at that, it puts him in a quandary. He has to jump on this. And yet his big long-term goal is actually to slim down the Fed's balance sheet and deregulate the bank industry. And he needs those other people on the committee to get him to do that. So he can't piss all these people off. He can't walk into the room and say, Hey, you guys created this total mess crap show out here with inflation. Now you guys just got to do whatever I say. So the real question was, on one side, he knows that the best thing he could do in June is go in and hit the market with a 50 right away.

immediately would flatten the curve. He would actually reestablish fed credibility. Everything would be great. It was like, you know, you and I as Marcus people would know, do the 50 right there, like get it done, right? And he knew that, but he has this political problem on the other side. So the question was, is he going to do 50 or is this meeting going to be a consensus building meeting, or is it 25 to split the difference, but it's definitely going

to be very hawkish. Okay. So great. Comes out with the hawkishness, didn't do the rate hike. Okay. He's consensus building. So July, I'm like, okay, now he's got to do the hike because he cannot wait any longer. Right. And he doesn't, not only that worse, he votes with the doves.

I know, you know, he has four people who are willing to do it and he votes with the doves. So why? So my only possible read, um, well, there's two is that one, I just like he's not as politically good. And I mean, small people, politically good, like maneuvering people as I thought and that I was impressed with, with the way he handled the June meeting. in terms of being very deferential to his colleagues and really pulling them along. He's just not as good. That's one possibility. The other is that he was like, okay, I could get it through here, but I'm really going to burn a lot of bridges and I need these people. And so I'm going to go with the doves and continue to work to building even though I'm costing us on inflation and costing us potentially, this is going to be more work for me in the future.

And the evidence that maybe that is the case is that go look at what happened in September. He got a unanimous committee to vote with him, right? That was actually a massive achievement. So forget about what rates were. The fact that he went from an outsider appointed by a president who is criminally investigating multiple members of that committee. And it was seen as Trump's guy and everybody's gonna hate Trump's guy to get a unanimous vote I would actually say is is a pretty good But at the same time at that point it was pretty clear that they had made a mistake by not raising rates So yes, I I agree It was that hard to get a unanimous vote because the reality was that you know We had in there a hot employment number a hot CPI number So we just step back and think about what drives the Fed. There was no reason for them to not raise rates at that point. Well, let me push back a little bit. People describe that number as hot. When you actually look at it, it stopped falling at the rate it had been falling for the previous two to three.

No, the CPI, the CPI number. So the CPI number stabilized rather than continued to fall. Because remember what happened is you have this acceleration in core inflation going into the Iran war. Then the Iran war happened and you start to see this deceleration that deceleration stopped

and people call that hot. It wasn't hot. It was a deceleration. I guess so versus expectations, it was hot. They expected more. They had expected more deceleration. Fair, that said, over the last two years, the rest of that committee has always taken the dovish interpretation of any piece of data, even if it was one month step, over and over and over. I completely agree with you that at the end of the day. So he got them there. Right. So at the end of the day, though, one of the things that I've been saying is that everyone's giving Warsh way too much credit in terms of how he can influence policy. It's still a committee. And absolutely. And it's the one branch of well, I wouldn't call it a branch, but one independent agency is the official is actually being able to stand up to Trump and to do it and to be independent. Right. Like it's probably the last branch of government or whatever you want to call it of that is independent, truly independent of Trump.

So by the way on that that sort of Jacksonian point sort of small footnote there That is the really interesting thing the Supreme Court did side with Trump Hey, you're actually right you are the executive and everybody does work for you except that one place over there That's absolutely correct. That's the one part that he's and must frustrate the shit out of Trump. Yes. Um, okay. So let's, let's talk about what you think, um, because you mentioned that that Warsh has two guiding, uh, kind of, uh, goals. And I thought that was interesting. And it's something important to think about when we're trying to, you know, imagine what the fed's going to do. One is going to be to reduce the balance sheet and two is going to be to do regulation.

Let's just start with regulation because I think that one's going to be pretty easy. I don't think anyone's going to have any pushback. Just give me the argument there and what they're means for markets. And then we'll go to the balance sheet. They're actually intricately intertwined. You can't separate one from the other. This is this is what is critical. And this is one of the reasons why you and it's actually critical politically to because this is what will unite the Never Trump or traditional Republicans with the Moga Republicans, right? So the Moga Republicans are these Jacksonians who just I don't like a powerful central bank that you know owns, you know, six trillion in treasuries. No, get rid of that. The traditional Republicans are like,

that's fine. They're Hamiltonian or Hamiltonians, right? They like centralized finance. They love that stuff. So they're like, why would you want to do that?

But Basel III accords and which were implemented in the United States as the Dodd-Frank Act. Why does the Fed have a large balance sheet? The Fed has a large balance sheet. You can talk about QE and all that, but why has it each time it tries to reduce its balance sheet? It runs into this problem even at higher and higher levels of treasury ownership that, you know, the banking sector flips out and says, wait, you can't do that. And, you know, so far rates start to move and all of this. Well, it's because those regulations require banks to hold tons of so-called high quality liquid assets. um that um uh and they could use treasuries but then the fed in its examination these guys says yeah under the legislation treasuries are just as good as a as a reserve but a reserve is immediately transferable a treasury has t plus two settlement so we want you to use reserves okay so the banks have to have tons and tons of reserves reserves are a liability to the bank. That means you have to have a corresponding asset on the other side. That means the Fed has to have a large balance sheet. So the only way you can reduce the Fed's balance sheet is to remove those regulations that, by the way, the banks would love because the banks would rather lend money to you and me at higher interest rates than to the U.S. government in high quality liquid assets. Right. So This is a massive win, win, win for literally everybody involved in that you. And by the way, you know, is people want to talk about, oh, but you can't slim down the balance sheet. That's going to be horribly recessionary. Really? If you free up the banks to go lend lots of capital, that's going to be horribly recessionary. Hell no. Right. So it all fits together. OK. So.

Your argument is that we reduce the balance sheet in terms of the Federal Reserve, but the same time we free up banks to go and do what they previously did. And their marginal cost is still the Fed fund, so they're like, fine. Right, so like this is Jamie Dimon complaining about this forever. Exactly. Okay, so what practically Um, needs to be done in that. And, and does the Fed really? Who, who is the one, I guess, you know, forgive my ignorance, but who is the one telling the banks that they have to abide by Basel three? Is that, is that the federal reserve or is that, um, there's

treasury? Well, yeah. So it gets very complicated in the United States. So you, um, have the comptroller of the currency. Um, you have the FDIC.

And you have the Federal Reserve and those three effectively regulate the banks together. Okay. The FDIC and the Comptroller of the Currency are controlled by the Executive Branch. Those are executive appointments by the President. So those are already aligned and you can see that the Treasury Secretary is very well aligned with this. He's been talking about this exact same thing, slimming down the balance sheet, deregulating the banks. This all is in alignment with what they're doing. The remaining piece is the Federal Reserve. The Federal Reserve is critical for several different reasons. One is it's actually their banking examiners who go in and do all the stress tests, all those sorts of things. It's the literal examiners. Like as I said, the law actually says you could use a treasury just as well as a reserve. But the bank examiner from the Fed comes in and says, yeah, that's not good enough for me.

It has to be a reserve, right? So the Fed is very important there. But here's the really critical issue about the Fed. And this is why, when everyone thinks about Trump's battle against the Fed and it's all about interest rates and fiscal dominance, no, it's not about that. Because, I mean, first of all, think about the fiscal dominance argument. You've got an administration that is officially arguing for a smaller central bank balance sheet. That seems pretty much the opposite of fiscal dominance to me. But more importantly, it is about that bank deregulation. And this is really what the battle over the Federal Reserve is because the Dodd-Frank Act. actually gives the, there are four, we won't go, let's not go into it because it gets horribly complicated and it takes too long, but there are four critical ratios in the Basel III Accords. The leverage ratio, the risk-weighted capital ratio. I can't remember what the liability ratio is called. And then you've got the liquidity coverage ratio, which is the one that forced them to have these high quality liquid assets. All four of those, are at the discretion of the Fed to adjust. The Fed can literally turn all of them to zero. Oh, I didn't know that. Yes. This is why the whole, the Fed is the entire battle. Okay. So let's just imagine tomorrow that he convinces the Fed to turn them down. They're not going to zero, but let's just say they're dramatically reduced. So.

One of the worries though that I have is as you run down the balance sheet. So then he assumes, okay, he says, I'm going to go, I'm going to reduce the bank's thing. And then I'm going to go and I'm going to run down the balance sheet. Now, do you foresee him just letting it mature off or would he actually sell treasuries? And then what happens when he goes to that point of minimum level of reserves? Like, how do you get around that? Because there, there is, listen, you know, Powell did try to reduce the balance sheet. They did hit a point where the markets started to complain and that there is a certain amount of reserves that are needed in the system. So what you're arguing is that, yes, he's going to try to get the balance sheet down, but at the same time, someone else needs to do this and there needs to be adjustments. So it could be a bumpy process regardless of whether you think ultimately it's better or worse for the economy.

Yeah, so there's definitely room for bumpiness in there. And by the way, I would say one of the critical bumpiness. So again, we could go down a very long rabbit hole about how monetary policy implementation actually works in terms of changing reserves in the banking system. But pre-2008, the Fed operated under a scarce reserves environment where, you know, you every single day go into the market and feed the banks exactly the amount of reserves that they need to meet whatever payments or whatever. And so you don't have those blips that we had in 2019 or in 2024 when the bank was, or the Fed was trying to slim down ballot sheet and had, you know, sofa rates and repo rates starting to misbehave because why did they misbehave? Oh, there was, you know, a massive options clearing day that day and they needed a lot of liquidity. The old Fed would have dumped a ton of reserves on you that day and taken them out the next day.

Right. Simple as that, right? So are you advocating for return to the scarce reserves or do you think Warsh is more important? Um, I think he's more agnostic. I expect that that's where they will end up. Really? Yeah. We're going back to scarce reserves. Yeah. I mean, I mean, it's, it's, uh, what is the problem with the scarce reserves environment? Like, Like listen I'm with you like ultimately the reason they did scarce reserves was because they hit the zero bound and they couldn't and they needed to expand the balance sheet and if you don't believe the balance sheet is something that should be used as a tool then you can return to the scarce reserves but if you believe

that the balance sheet be should be permanently large like it is now then you can't have scarce reserves right like to get yeah but but there's no reason who is the person out there who So this is the interesting circularity here. And it gets to an important point that you raised about the bumps along the way, which is there's no economic justification for a large balance sheet. I mean, I know that Governor Waller, who's, you know, never dealt with actual Fed funds himself, Um, you know, says, Oh, it's silly for a major central bank to be looking for change in the couch cushions. Well, you know, anybody who worked on the New York fed trading desk pre 2008 would be so offended by that statement. Like, you idiot, this is not hard. We do this every fricking day.

It's not looking for a change in the couch cushions. And oh, by the way, on the screw few days, we screw up. Yeah. Fed funds goes to 30% for one day. And by the way, nothing happened in markets. Nobody cared because it was normal. Right. I think it even went higher. I think we'd go to 100% on certain days for a day. Like that was the spikes. So, okay. But hold on a second because this gets to that bump point that you had. We have now been operating in an excess reserves environment since 2009 and we've had a Federal Reserve president who famously You know bragged that he didn't even have a Bloomberg terminal never get one because he doesn't care about markets the money centers Federal Reserve Bank the New York Fed their president doesn't give a damn about markets Oh, yes, he did He didn't say, I don't give a damn about markets. He bragged about not having a Bloomberg terminal because it wasn't important to follow markets. Okay. That is who's been running the Federal Reserve Bank of New York for how many years now. And you go talk to anyone who's in the Federal Reserve system. He has absolutely decimated the market staff. So the problem that they're going to actually face in terms of bumps in the road is, yeah, They may conclude that we really need to go back to a scarce reserve system. Who the hell on the desk knows how to do that anymore? They're all gone. Literally, they are. Okay, but do you do so? Would you agree that the abundant reserves has made financial risk assets more buoyant? No, what I would. Well, the way I would put it is that it has It has expanded risk tolerance in the sense that people don't feel they need to worry about those spikes in Fed funds and things like that. The reason why markets could handle those things in the past and why they all freaked out when SOFR

rises by five basis points now is that you know, they have taken on way more risk because they expect excessive stability in there. They expect, you know, Fed funds to instead of trade like a financial instrument, trade like Chinese GDP, right? That's no variability. I completely agree with you. And so I think we're on the same page that there's that has encouraged risk taking. So therefore, if we do have turn of risk being priced more appropriately, that will mean lower asset prices. Do you agree? On the margin that has to be the marginal effect. So how do you square the fact that maybe Worf believes that that is the way we should go? And I think he probably does. Or he might. I'm not exactly sure, but he might. But his boss definitely doesn't. So I think the way to think about that is that That is a trend effect. That is really about people's perceptions of risk and willingness to take risk. And unless we have some sort of crisis event, when we have a crisis event, risk tolerance changes dramatically in minutes, right? And that's what causes the massive change in asset prices. When you have a...

change in philosophy around risk, that tends to be a slow moving thing that nobody's ever actually noticed. If we could run parallel universes and compare prices a year later in one universe versus the other where we had the scarce reserves and the abundant reserves, we would notice a difference. it's like slow boiling the fog. Would you actually notice? And then remember that there is this offsetting effect that you are also actually encouraging risk on the banking sector. You're telling them, go out, take a bunch of more risky loans. Yeah, no, I, I understand that aspect. And it's definitely changing who's taking the risk. Like in the past, the government's took the risk, or sorry, in the last 20 years, the government's took the risk and it's going to move it back to the private sector. So I completely agree. And not only that, I think you already have seen the change in attitude in terms of the front end of the, of the stir curve, like you go look at it, of the, of the sofa curve.

you go look at it for the first time, there's positive carry in like owning, you know, front end stuff, because the reality is that you don't know what the Fed's going to do. There is some risk there. And that is how the market should be. Okay. And by the way, term, term, premium out the curve. So it's not just at the front of the curve out the curve. Everybody wants to say that this is like, you know, just Frankly, the fiscal situation actually hasn't

deteriorated that much since the Biden years. What's happened is Trump has provided greater uncertainty over both fiscal policy and you coincidentally have greater uncertainty over monetary policy. Hey, you should have a term premium for this stuff. I might push back on that and say that what changed under Trump is that for the first time in a long time, the rest of the world is willing to spend.

and that you have deficits going on around the world. So I take Canada, for example, because I like to talk about, you know, I know our country. We were running, you know, in under the Biden years, they, you know, Biden was running an 8% deficit to GDP. Everyone, if you would ask most, you know, Americans or most market participants, what do you think Canada is? And they would be like, well, the US is running 8% Canada as a socialist country. They must be running 10s or 15s. The reality is we were running two. We were ready to now all of a sudden with all the talk of the rhetoric, you know, 51st state, whatever and all this stuff. We're like, oh geez, we better take care of ourselves.

And we better do some things. And listen, I happen to believe that Trump was, in some ways, the greatest thing that ever happened in Canada. We are going in. We are changing things to the better. We're finally making pipelines so that we can sell our oil to somebody other than you guys. We are doing pro tax stuff. There's a million different things. But my point is we've gone from a 2% deficit to a 5% deficit. And the whole world is doing this. And that's the part that I think that people are missing is that for the first time there's competition for capital and that everyone else is spending. So I happen to believe that it is somewhat of a worldwide phenomenon, but the thing about it, the reason the US is getting the attention is because you guys are the biggest spender, you have the biggest deficit. And so the term premium is there. Okay, so let's, let's, you know, we talked a lot about the plumbing and the finance. Can I just, just one comment on that? Yeah.

100% agree. In fact, I wrote this little piece about a decade ago, literally a decade ago this month, the politics of rage forecasting all these populist movements. And one of my key conclusions was you would get increased competition for capital as we increase rather than having consolidated Um, globalized, uh, you know, production in certain places, everybody's going to

start producing their individual stuff. Investment demands going to go up everywhere. Defense spending is going to go up everywhere and you're going to get higher real interest rates. So I made that prediction 10 years ago. Yeah, you're like me. You're just a little early. Um, yes. Yes. Exactly. Okay, so let's talk about, you know, I hate to do this because we try not to talk about politics, but it is so important right now, the midterms. And you were mentioning before the show that a lot of people are reaching out to you and asking your opinion about what's gonna happen in the midterms of what that, and more importantly, what it means for markets. So give me your opinion about what's gonna happen in the midterms and is there a trade there? Yeah, well, I think there's definitely a trade there.

Um, so I'm in the middle of writing a piece should come out next week. So I'm about the time that, uh, this podcast come come. No, no, we, we turn ours around real quick, Marvin. This is coming out. Okay. Wow. Okay. Wow. Wow. Okay. So, so you're asking me to front run my own research here. Okay. Fine. Um, so, uh, look, so one, why is there, why have people been scrambling for me to. I did correctly call the 2016, the 2020, and the 2024 elections. And what was critical about that is I was able to do statistical analysis to identify the size and magnitude of polling bias that was in all of those polls and adjust the polls correctly to say, actually, Trump's probably winning an electoral college count in 2016.

Trump is losing in 2020, but by a far narrower margin than anyone expects and we'll be biting our nails the next day. And then in 2024, I said he's going to win the popular vote and he's going to have coattails in the House and Senate. And it was all based on an analysis of polling airs. And so I've been working on that and, you know, you know, the headline conclusions from what I have so far is absolutely they're still very significant polling airs in in these polls right now. So the polls are not nearly as in favor of Democrats as people think. But as you know, you know, this go we're in a midterm election. So there are a few a few different variables come in there. One is that, you know, voter participation is very different in a midterm versus, so we don't know how that polling bias turns into voters who throw up at the polls versus otherwise. Interestingly on that, one of the things I find is that when you do break down and look actually of the people pulled, which is really critical because the whole point of polling bias is you're

missing a bunch of people who will show up to, to the voting booth who are not there. But of the people polled, actually the people who are voting Republican are actually highly engaged and energized. So there's a good likelihood they come to the polls. But then there's this other issue beyond it being the midterms, which is you've had this phenomenon where Trump has gone through and systematically purged people in the Republican Party who were thorns and a side who weren't playing ball, so to speak, for him. Now, this has really important implications because right now for the election, what's happened is he's put in place loyalists who actually are not as popular.

are seen as more extreme. And so in a place like North Carolina, right? Like, you know, pushing out Tillis, this is really costly. That could have been a layup seat instead. This is a seat that looks like it could very well go for the Democrats. Texas is a competitive race because of Paxton, all of these things. So he's gambling big here. And it is classic Trump, right? Like he is always, you know, All on 42 black, right? You know, whatever. Yeah, exactly. Like he's going to absolutely clean up if he wins the bet. But man, this is going to be a big thing. So that's what makes this very risky. The polls may be closer, but he has also chosen a lot of candidates that may even with the polling bias still lose him the election. Here's the interesting part.

If he wins the election, my prediction is he will actually be more powerful in the second half of his term, unlike the usual lame duck practice than in the first half of his term. And in fact, we'll be the most powerful lame duck president in US history because all of those people are people who owe him their seat and also know that whether this guy Even if forget about whether it's lackeys, just think about the political incentive for everyone around the table. Even the people he didn't. It's like this guy, whether he runs for president again, I mean, you know, there's still this debate as to whether he's going to change the whatever. Who knows? He will probably still be alive and he will still be out there advocating his things. Do you want to stand up to this guy who has successfully purged everybody he didn't like?

Okay, you don't want to do that. Okay. So this is why I think the midterm is actually massively critical. Okay. And so I guess the markets would

probably like it if if he ends up doing better, the Republicans end up doing better than than the market expects. Like that. Don't you think? Okay. So so this is a really interesting question. I do think so. Yes. Is if we want to just go to the headline answer. Yeah. But This midterm is very different. So in general markets like the whole, you know, divided government thing because the reality is that the one beautiful bill is actually designed to have fiscal come off at the, you know Post midterm, like so I I I push back to anyone who tells me divided government is good I I'm calling BS and not only that if Yeah, like if the if the Democrats end up winning the house Like I've been talking about this. The reality is they control a lot of those committees and the ability to to subpoena people. And I, you know, we'll obviously get to that. But so you think though that a Republican like the three of like, let's say imagine he somehow wins the house, right? Like somehow if he keeps the house in Senate, let's just imagine that you don't think the stock market rallies. I think the stock market flies.

No, that's what I said I said the headline is I do think that it does and and the reason for that is So I was referring to yes the normal idea is well divided government means that the government isn't gonna mess with us So it's good for business in this case exactly to your point. You have two big issues that are really negative for markets if the Democrats take over the House and Senate. The first is they are clearly far, they have aligned themselves with the anti AI movement, which means there's going to be a big movement against AI that has been an important driver of investment. Even though as much as I've claimed it's not as big as everybody says in relative terms, there is a whole other set of investment going on. It is a big deal. There's no question.

And it's been a big driver of equity markets. So that's one part. But the second part is exactly what you mentioned. If you have a government that is now not divided so it doesn't get anything done, but actively fighting with each other, that's not a good thing for markets, right? Because, oh, we're going to go punish your firms because you're punishing our firms and backwards and forwards. That is not a good thing. So I absolutely agree. Okay. I guess one of the worst cup secrets in Washington is the fact that the Trump administration is hiring every single lawyer in every single battleground state in terms of being able to contest the elections. There's no

doubt about it that if he loses, there's going to be some legal challenges and stuff. I think the market is expecting that. The real question is, Is there something that Stephen Miller and the crew have dreamt up that's even more aggressive than that? And do you, like if you remember back to that point was they refused to certify that one member that was, you know, for the Epstein file, there was a point where they were waiting to get this vote through?

And the whatever the guy that runs the house, he refused to to seat the house so that they would certify the results or get that one person in. So there's some smart people that have speculated that there's going to be more than just legal challenges, that there's going to be something that is going to be, you know, Trump is a disruptor. Trump changes the world. Um, is he going to do something more extreme is my question to you? Um, I, I doubt it. Um, I mean, this is an extreme game, but ultimately he won't. Well, it's, it's no, no, no, I think you're doing stuff, but you're operating within the lane. So, you know, Trump has this, um, reputation for, um, you know, disregarding the law and, um, I would argue the evidence is not in favor of that at all. That if you look at all of his executive orders, if you look at all of his conflicts with the courts and other things, he actually has scrupulously followed the law. His legal briefs are actually extraordinarily detailed in his battles with the courts when they have put an injunction. He has stopped. He's then gone and fought them in the courts and otherwise.

There have been a few instances, I can't think of them off the top of my head, where he has ignored the courts on certain things, but it's typically because there's a precedent for doing so. And this goes back to this Jacksonian principle, which one of the other things that Jackson was famous for was the so-called Indian Removal Act, which is, yes, every bit as bad as it sounds. And what had happened is the Congress, you know, House and Senate had voted this act to expel Native Americans from what is now Alabama and Mississippi and push them further west. And the Supreme Court by a five to one vote said, no, that's illegal. President Jackson said, well, um, let the chief justice in forces call. And his point was, um, that the U S constitution is, is actually unclear on this point. You have divided government among three branches. No, all three of those branches are exactly equal in their constitutional power and in their authority to say

what is constitutional. That is absolutely the way the constitution is written. And Jackson's point is you've got two branches of government.

at least right now, while I'm in office, the executive and the legislative that say this is constitutional and legal. I don't give a damn what you, the third branch, two out of three wins. And it didn't point then. Like, because in essence, what you're arguing is that the Supreme Court has no ability to go and enforce its decision. And back to your point as the president is the one that is the only truly democratically elected one with all the power. So he can tell, say what is right and what is wrong. But he does have to actually have the House and Senate agree with him on these things, right? So that's why I said, where he has violated things, it's been over. Hey, we have a different interpretation of the law and two out of three branches wins here. So.

If you can tell me what the scenario is where the House and Senate are both agreeing with what he's doing, then, yeah, I can completely imagine that's going to take place. If you're going to tell me that, you know, they're going to, you know, violate the law and the House and Senate are not on board with this or the Senate is not on board with this, but, you know, Mike Johnson in the House is trying to push it through. I struggled to see that one happening. I'm not going to rule it out, but I struggled to see it happen. Fair enough, understood. One of the things that's confused me is, remember that prime time address? He should not do those things, by the way. Well, no, so I have a question for you about this, because the prime time address at the time we were, you know, or the US was fighting the Iran war and it looked like it might be an escalation.

That is typically why you do a primetime address is to get the public ready for, you know, a protracted legal, you know, a military battle. But in this case, he came out and he all just spent an hour ranting about election fraud and stuff. And the ironic part about it is that we stop and think about the elections that he claimed that he got stolen on. The one that he won, Obama was in charge. the one that he won in 2024, Biden was in charge. Somehow the one he got stolen on, he was actually in charge. So we'll just stop and put aside logic for a second. But why do that prime time address if you're

not setting the stage for something forward? To me, there's only one reason to do that, and that is just to set the stage going forward.

Well, one minor correction is that elections are run at a local level. So he wasn't actually in charge. So, okay, but I take your point. On that, I think there's two explanations. One is like, you know, I've never said Trump is not like impulsive and, you know, just erratic about things, right? I do see a broader strategy in the sort of trend. That doesn't mean there's not a lot of crazy noise that comes with it. So some of that, and it is very associated with his, you know, personality and sense of dignity that he has been somehow offended or wronged or whatever. And this is clearly one of those issues where he still thinks he was offended and wrong. So it could just be that. Fair enough. What I think, but let's take your point that actually.

And I think it's fair. I think with Trump you don't know what is the erratic part and what is the strategic part, right? This is always this is the problem with analyzing him. Yeah, everyone told me on the tariffs There's no way he's gonna do it. It's just negotiation tactics and I'm like The guy loves terrace. I don't know what you're talking about. He came out with his King Cove postcard evolve and everyone was like, holy shit, he's actually doing the terrace. I'm like, he told you he's doing the terrace. He told you he was. To me, a little bit of this midterms issue is that he's telling you that he's setting the stage. So that's what I worry. So to take that side, what I would say is that is prep for all those legal battles on the ground. So that's all he's saying.

I would think so. By the way, there's another whole thing here, which suppose that you do think, and let's just take him at face value that he actually honestly believes this stuff that, you know, this election was stolen from him and that there were, you know, tons of people who shouldn't have been voting, who were voting. There were lots of, you know, ballot fraud, whatever. Okay. If you actually honestly believe that, then, and by the way, this happens to align with what your voters were asking for in the first place, when you expel all sorts of illegal immigrants, you're taking away a lot of potential fraud votes that were in that. And so I actually think one of the underappreciated things that may be going on in this election is that a lot of the ICE activity is actually preparing for this election. So whether you

agree that there were illegal aliens voting or not, if you accept that the person in charge thinks that there were, then what would his natural action be? It would be to go remove illegal aliens, especially from close districts.

I realize I did a shitty job as an interviewer here because we talked about your conclusion and we got too quickly. I went on, I heard the Republicans might do better and we jumped on to what the stock market might do. What is your actual prediction in terms of Is it just that it's going to be tighter, the midterm election than expected? Or do you actually think that there is a good chance that the Republicans keep the house and surprise everyone? So one, I haven't finished my analysis. What I can say definitively is it's definitely tighter. And so on the basis of that, I would say, yes, people are definitely underestimating. Like especially recently, if you look at these polling numbers for like the generic housing poll or generic national house poll. It shows, you know, it's a big surge. And I think, you know, real clear politics has it like that, you know, the average Democrat margin across houses, something like 9, 10% right now. And I say, okay, but that's a generic thing across the nation. That actually doesn't matter what matters because, you know, there are going to be seats in in New York and California that are going to go 70 80 percent Democrat, right? Who cares? Right? What you care about is those marginal seats where it's a 50 50 choice in those districts, what's happening, right? And in those actually The the the polling is much thinner on that but it looks like it's actually a much closer race And then you add in the polling bias then actually that does suggest the Republicans are in a position to potentially hold the house Amazingly enough. So I'm not saying they will I haven't finished my analysis I'm just saying what I've seen so far is that actually that's a very reasonable Assumption for you to make that they might actually just scrape by holding holding the house and Senate What I think is interesting, and maybe I'm, you know, predicting your next question is we talked about the market reaction. But what happens in terms of policy if you have, whether you want to call them lackeys or just, you know, people who have now seen that the mafia don is in control and you'd better not cross him in the house in the Senate.

Here, you want my big out of consensus call? My big out of consensus call is that that's when you're finally going to start to get fiscal consolidation.

Because if you, yeah, so you actually previewed this when you talked about OBA, one big beautiful bill. One big beautiful bill. you know, everyone wanted to focus on the extension of the previous tactics. That was gonna happen anyway. So figure out, so look at actually what was the Delta between, you know, 2024's budget and 2025's fiscal budget. And the Delta was the following. One, that for only the third time in the data that we have back to the 1960s, real spending by the federal government fell. not nominal spending, but real spending in real terms actually fell for one of only three times. So there was actually some fiscal restraint built in there. And that's with them increasing the Defense Department budget. The second thing was the only tax cuts that were in there, if you just assume the other stuff was actually going to be passed anyway. And that was just, you know, classic congressional gamesmanship over this 10 year budgeting.

frame that they have was the stuff he promised in the election cuts on overtime cuts on tips and cuts on social security it was exactly what he promised promises made promises kept right promises made promises kept but most importantly who are those people those are the new you know, MAGA Republican Coalition. It is actually your working class, not your, you know, Rockefeller Republicans from the past, right? Who wanted the tax cuts on the top. So go back to my Jacksonian principle that they are, whatever the noise, your mean reversion should be what are the Jacksonian principles? What was after inflation? federal spending and the deficit so I and if you go back to statements that both Trump and you know his his most sort of outspoken Not job cabinet member Lutnik said in the first year both of them talked about Look, it is crazy that we don't tax the rich more and we don't make it easier for for the other people They don't say this, but by the way, there's an implicit offset for the tariffs that fall more heavily on the working class. That's what I was going to bring up, but you brought it up. Exactly. They explicitly talked about raising taxes on the top to, um, Lutnik said this specifically, and then Trump said something very similar. I can't remember to use the exact to provide zero income taxes.

for the bottom 90%. And I just did some back of the envelope calculations when they said this. And actually you can have with a reasonable rise in taxes on the top 10%. You actually can fully fund that cut in taxes on the bottom 90% tariffs that ends up being a VAT tax. Exactly. So I like an island

Caribbean island. So I do think that you should look for, if they do win, you should look for two things. One, that tax policy will be tilted to be far more progressive on the income tax side. And as you say, you know, there's an offset there with the tariffs being regressive on the working class. But that they would view as an industrial policy action, right? And...

Two, they will get much more serious about cutting spending. They may even put entitlements on the table, which I know is just like, you know, the third rail, but whether they do it or we get into the next presidential election, the next presidential election will have to deal with entitlements because social security starts to go into deficit in the next administration. And so this third rail that everybody has not wanted to touch and has been able to kick the can down on the road, In the next administration, we cannot. So over the next six years, we are definitely moving towards significant fiscal consolidation in the United States by necessary fact. My out of consensus call is that it may we may get the initial steps in that in the second term if the Republicans keep the House in center. And does that mean that bonds are screaming by with real rates at all time highs here or not all time highs?

You know, this is the really, really interesting thing. We talked about this rise in term premium and all this. And you know, from our previous conversations, I've been very bullish on the U.S. economy and the underlying investment led growth and where this is going and what that means for our star. And so in sort of the neutral real interest rate. And so, I wrote this piece back in 2023 where I said, look, based on my views, this is what the fair market value of the US Treasury curve should look like. If you build it up from a two to 2.5% real neutral interest rate, and you bring back term premium of similar periods Um, from the 1980s or 1990s in terms of where you are in the cycle and the fiscal situation, things like that and productivity issues, you would get this Treasury curve. Amazingly, as we went into September, other than the fact that they still have fed funds down here, which, you know, one year, one year, fours are telling you it's going to go up here. The entire curve was literally converging on a Ford basis.

to 5%. The top was coming down, the bottom was coming up. It was all converging and it looked like literally the exact curve that I set out. After

the strong numbers, we've seen the term premium start to rise, the French issues coming off, all of that have started to do it. But yes, I do think that we are now getting to a point where the fixed income curve actually start for the first time in multiple years. I can look at it and say, Actually, I think that's a reasonable buy here. And indeed, the long-end stuff, as I said, you've seen the rise again in the term premium in the last few things, I would absolutely post-election if it is a Republican Congress, especially on a long short US versus Europe basis, where there's no plan for consolidation.

absolutely harvest that term premium on the U.S. as a long versus short on European long-dated debt. All right. So you brought up Europe there. And I think this is a great chance to segue into something else. Recently, you were mentioning that all with your podcast, the thematic edge podcast, you actually talk with your partner Mark Farrington. Is that his name? I got it right. Mark Farrington of the Global Watchtower. Right. So he's a he's a long time old, old client. One of the best currency traders ever in history, as far as I can see. And you know, I was at two of the biggest currency houses in the world. I dealt with all. Mark is amazing. We'll have to get him on the show. So you should invite for me. You talked about Europe being isolated and how they are actually the ones that are in trouble here in the new geopolitical order. I would love for you to expand on that. Yeah. So.

You know, if you read like the Financial Times or your illustrious Prime Minister speeches, you would have the distinct impression that the U.S. is the odd man out with Trump and that the U.S. is increasingly isolated and otherwise. I look at the actual chess pieces on the global chess board and I'm like, no, Jack is Europe that's that's isolated. And I would even say from Canada, despite Mark Carney's statement. So we come back to that point, but just look around the world. So if you look around the world, North Asia, the other industrialized major industrialized economies outside of Europe. 100% in alignment with the U.S. economically, industrially, defense, and even politically at this point, they are they are like perfectly in sync with with the U.S. You look up up and down through the Americas with the exception of Canada. And again, let's come back to that. Just as we saw in the latest Brazilian election, Latin America is completely lining up with the U.S. here.

you look at the Gulf. Yeah, there's lots of gnashing of teeth and upset over what's going on at the war. But absolutely the Gulf is completely aligned with the US on this one. Or at the very minimum, see that they need to have US alignment with them. They need to be on board with them. And they are wholly contemptuous of Europe. I mean, extremely contemptuous of Europe actually. It's getting very straightforward in their rhetoric at this point. You look at Africa. Africa is not necessarily a particularly important point, but it is a source of minerals and it is a source of Europe's problems in terms of immigration. Africa is very much lining up either Chinese or American. China, you know, first point is, One of the lessons of the last year is after Venezuela in Iran is that everybody around the world has learned that you can never count on China for anything But the other is is that the Europeans are themselves seeing yeah, China's gonna eat our lunch They are they are not somebody we can count on or work with they're clearly not aligned with Russia That's a big issue. And so that leaves you with India. Okay, India is the epicenter of the non-alignment movement and is still very much, you know, a non-aligned country. Yes, they've signed a new trade pack with Europe, but that's mostly about providing an outlet for Indian labor, anything else. This is not a big bonus for Europe in any other sense. So you look around the world, Europe doesn't have resources.

It is increasingly short on alliances and anywhere that are all lining up with the country. It keeps insulting the United States. And the only country out there that seems to be aligning with them is Canada. Now let's look at what Canada is. It was a great article this week by Doomeberg where he looks at Mark Carney and I will say upfront and it'll be very apparent in my comments about Mark Carney. I find him to be one of the personally most loathsome, disgusting individuals in history. I absolutely detest that man because he personally destroyed a friend of mine on live television for no other reason than to advance himself as Bank of England governor at that November 2014 meeting when he absolutely destroyed the chief dealer of the bank of England. Mark Carney will say and do anything to save his own political skin. He is a terrible, terrible person. But look at... Tell me how you really feel, Marvin. If somebody did that to your friend on national television, completely destroyed somebody without evidence, the person's never been convicted of anything. And just...

fired and destroyed this man's life. I think you might have some work. Meanwhile, the guy here defending Trump, he never does something like that. He's never done anything untoward or, or, or in poor taste and attack people. I never said that. Yeah. I've never said I like Trump's personality. Anyway, no, but this, but this Dewburg thing, he makes this fantastic point. And you actually just alluded to it. I don't know if you saw his, his, his latest Peaceburg where he's talking about how, um, you know, Mark Carney, despite being from the center left party that has all these green goals and, you know, had Justin Trudeau is absolutely opening the floodgates. every single energy and resource. But this has been my point about Canada for a while is that when we had Pierre Polly ever Barkarney and I was like, there's no difference. They're both, we have no choice but to go out and open the floodgates and to actually, you know, compete and do some things that are positive for our economy for the first time in forever. And here, here's, here's where I'm going to blow your mind, but I'd rather he'd be too faced and actually doing something.

No, so I am super bullish on Canada for exactly this reason. So as much as I dislike Mark Carney, I'm actually super bullish because he is doing these things. And the other thing, here's where I'm going to really blow your mind. I would say other than, you know, his, um, very, you know, without using the name, but very obvious speeches where he criticizes the U S and Trump administration. If you were in the White House today, is there anything that you would change in Mark Carney's policies. Everything he's doing is exactly what the U.S. wants. Every last thing. Listen, going and making a pipeline is like to me, America had it great. We were like a CRB. America does have it great. In terms of, no, with our relationship with us and the fact that he's going after us.

in terms of Canada was one of the dumbest things. Like he talks about the hollowing out of mid America, right? Go let's go and talk about the Canadian trade deficit, take out energy, which is a global commodity and stuff like that. And look at us. We buy more manufactured goods from you guys than we sell. We are not the reason that the mid American guy has lost his job. That is all China. And the reality is that we were so stupid and got played and we were absolute idiots and fools for believing that we should only send our oil to you guys. We should have had pipelines forever. Like

I'll be honest, I have Krista Friedland is is my is in my district. She's like I vote in her district back in the day. She would come to my door and I would like sit there lecturing her.

about pipelines and like doing my best to try to convince them to do pipeline that like it has been foolish that we haven't had this before and so to think that we were the enemy and to come after us we could have been together going after China we have the same problem even worse than you guys we have no manufacturing our middle Canada or middle our manufacturing is stuck coming after us has been just the like foolish And it doesn't help you guys. You made all of your commodities more expensive. And yes, you're hurting us. No doubt about it. You're hurting us like you're in the grand scheme of things that hurts us more than it hurts you guys because you guys are such a large economy. Completely get it. But we could have been together and fighting the things that were truly wrong with how the world is set up. And I think that that's the part that that is being sad and disappointing and just truly tragic.

Anyways, listen, let's go back to your preach preach Like I love it, but actually I think there's a really important Point on that one So I fully agree with you that exactly you know that the the US has gotten a great deal and by the way, it's gonna take a while to build those pipelines. So, you know, for at least the next four or five years, the US still gets a great deal on Canadian heavy oil. That said, the Japanese proverb wins the best time to plant a tree 20 years ago. What's the next best plant time today? That said, first thing, all of that hatred towards America is what is allowing Mark Carney to get all this stuff down.

Pierre Paul would never have been able to get this he would have wanted to he would have never been able to get it done So that's one point number two is great the US is going to lose a closed small source of supply But it's going to get an expanded source of supply that is now also going to be able to Fuel its allies in the Western Pacific Japan and Korea as well as China. Yeah, sure. But if there's ever a conflict with China, do you think the US is going to let you export a single drop of oil or gas out of British Columbia? Hell no. If you think about it, but you're kind of US grand strategy arguing that they've done this 3D chess and that this is really where where they

wanted to go. I will push back on that. No, it's not 3D chess. It's literally what the national.

strategy, um, document says they want the allies to have, you know, more defense, more industrialization, pick up more of the weight themselves and produce more energy and have it centered in the Western hemisphere. It literally says all four of those things. Okay. And by the way, I just want to make it clear. We have no hatred for Americans. We have hatred for the, the, the guy who, who is exactly so informed. In four years or eight years or however many it is, Canada will be way more productive, will produce way more oil, and we'll still love America. And oh, by the way, like the old Mexican proverb, so far from God, so close to the U.S., you're tied to us. So it's a good thing for the U.S. that it was one of the greatest things that ever happened to Canada. Like, because I think that we finally, you know, woke up to it. So let's go back to Europe.

So Europe is screwed, I guess, is the end result. And do you think that like this France whining of the old spread and things like that is this just the start of something much more large and potentially catastrophic? Yes, I'm actually very concerned about that for a few different reasons. One, and, you know, you mentioned this. podcast I did with Mark Farrington, that Mark and I both have been for the last few years, like look, the disaster that is just waiting to happen is Europe, because literally everything is coming together in a way that is incredibly harmful. So Europe has pursued ridiculous energy policies that make their energy costs on the order of five to seven times what they are for US or Chinese manufacturers and consumers, right? So they are just not competitive and they can't become competitive at those prices, not just in manufacturing. Like that's why, you know, Germany in particular has been going through this malaise. They are just, they cannot be competitive with those energy prices in manufacturing.

But now the whole game is is AI so the whole future thing what you were going to go into next that is 100% energy energy energy energy all of that and so it doesn't matter, you know that there's great Computer scientists coming out of a coal polytechnic in Paris doesn't matter if they have no energy to do that compute on Who cares? Right? It's like, does a tree falling in the forest make any sound? They're just going to end up at the JP Morgan

desk on in London anyways, trading out backwards. We know that. Which is why they do exactly because they don't actually have a real job back in France. It doesn't exist. Right? So, you know, Europe has this serious growth problem in the.

All of their potential paths to growth are foreclosed. The return on capital is terrible. And debt dynamics are entirely about real growth versus your real interest payments. So Europe as a whole is actually not low debt. They actually have extraordinarily high debt. What happened is that you had a few really good balance sheets. The French wasn't terrible 10 years ago. It was just moderately bad. And then you had this great balance sheet in Germany. And what, what does Friedrich Meritz do? Hey, let's screw the one asset you're bad. Our balance sheet too. Not only that, listen, a lot of those transfers are hidden in the target to imbalances. So the reality is it's, it's worse than, than people read.

And there's no credit. So this is what makes this, this, this terrible. You have an unsustainable debt, debt situation across Europe as a whole. You now have lost the one fiscal anchor in Europe. And you spent it all on, if you look at what they lost the debt break for, it was literally on all sorts of green energy programs. They said it was about defense. The defense stuff has to be green. Right. Like it was actually in the constitution. Like go look at what the to get the green party to agree to this. I mean, it's literally the most insane stupid thing. Frederick Merritt should burn in history. He's lucky that, you know, Adolf Hitler is the only person who can actually make himself worse. No, no, no, I'm not, I'm not, wait, let me be very clear exactly to your point. I'm not comparing that. I'm just saying it's hard. You can't say you're the worst chancellor in history when you have Adolf Hitler. Fair enough. I'm not saying that, right? I have a good buddy, by the way, who might or might not be listening, but he would.

give you a huge run for your money with he would claim that Merkel is the worst that has ever existed. Fair point. Fair point. I agree. Like, look, but but Friedrich Meritz, I mean, really, that was unbelievable. So you have all of those things coming together. And then you have that it's fracturing politically. So, you know, this immigration issue and these populous parties rising everywhere are creating Real political instability. And then you have

things like, you know, the Sanchez government, which looks like it's going to be voted out of power. You know, they do all these immigration hijinks that all your partners start to say, Hey, we're pulling out a shengen because of this. You know, you add, okay, we don't have growth. We are not fiscally sustainable. We don't, we can't be economically competitive. And now we're going to fracture political unity as well. My goodness, this is This is a disaster waiting to happen. And unlike 2011, 2012, where again, you had that German balance sheet that could back the ECB to go in and solve the fiscal problem. Who is credibly going to stop this run now? You can say the ECB will go out there and buy, but why is the ECB credible if it doesn't have a German balance sheet that's credible behind it?

Marvin, this is being so much fun, and I'm glad that you've come on as an American being pro-Trump and shit all over Europe. Come on! I was not pro-Trump. I just... And let me be very clear again on that. You're right. I should never mention the hit report. My only point was that... No, no, you clarified it. You don't worry about it. You don't worry about it. Yeah. Don't worry about it. I mean, please do not say, as I said, America's equivalent to Hitler. Absolutely not. Yeah. All right. Listen, so before we let you go, this has been so much fun. By the way, it's been an absolutely blast chatting with you. And I always love hearing the other side. So it's great having you on because me is a little bit pro-carny and a little left-leaning. I have to, I have to hear what your side is thinking as well.

Um, as I said, I'm very happy with what Carney is doing. I just don't like him personally. We actually agreed on a lot in terms of that. So like, I guess we only disagreed about like whether it was actually intentional or not. Who cares? We got to the right spice. Okay. So we're going to end with something fun. Um, we're going to do the best concert you ever went to. And then the concert you would have wanted to be there for. Uh, okay. So best concert ever. No question. Um, Paco de Luthia. the late Flamenco guitarist. I actually went to two of his concerts, one in Washington DC, one in Malaga, Spain, where he's from. Unbelievable. In some sense, I would say the one in Washington DC, which was in a closed room versus the open-air environment, was even more amazing because it was like...

Have you ever been in one of these situations? Like, I'm sure you've been in situations where you can feel tension in a room. You can actually feel it in the air. Have you ever been at a concert where you can feel the intensity of the musicians and all of this? Like not just the music, like you literally feel how intense those musicians are in your core and in the air of the room. That was Paco de Lucia. I mean, unbelievable. Never had an experience like that in my life. Before so when was it what year was that? Let's see that would have been probably 1999 2000 somewhere around there and then in terms of What I miss I'm split on this one okay cuz and one I have to admit is not so much for the music Although the music was great, and I will really wish I could have seen it, but it's more of the experience I kind of really wish I would have gotten to be able to go to Woodstock, right? Like, I mean, what an experience. Like, come on, can you do better than that? Yeah. But for the pure, I am like the 12 years old of Woodstock. I'm my goodness. Amazing. But the boomers had a good, at least for that, right? They have to be jealous. Because you're a Gen X like me, right? Yes. Yeah. So the boomers had a good in terms of that, you know, they did the break from like, you know, the conformist because that's what's the beauty of it is that you you were breaking from conformity. So there was still like a, you know, safe, low crime community where people still respected rules and behave. So, you know, you, you weren't going to expect you get 70,022 year olds together and there's like going to be like crazy stories of all sorts of bad things happening. They actually behaved. It was just, wow, this is a new thing. So the baby boomers to your point, but the thing, the musical event. Okay. But before you go to your musical one, by the way, the, what is it? Altamont, the, the, the one in California. Oh, that was the 10 miles for 10 miles from, from where I grew up in Tracy, California. I grew up right next to that.

because that was the end of the free love and then like it was completely and you know what's interesting about it I've heard people say that it was really that you know up at like Woodstock everyone was smoking you know grass or whatever and then the cocaine came and it just changed everything oh I wonder whether it was cooking because I was I started to anticipate what you were going to say there because you remember that the problem was that the Rolling Stones hired the hell's angels right or security. And the Hell's Angels, I don't know if you know this or if your audience

knows this, but certainly in those days, I don't know if this is still true. You know, I'm not a big drug user, but the Hell's Angels had the monopoly on the PCP trade. Oh, maybe it's PCP. I don't know. It's harder drugs. Is it regardless? Yeah. Yeah. It changed. And they, and then when you go look at, you know, the history, music historians, We'll talk about the end of the hippie free love was that concert and that was the start of the dark air. OK, so so we sorry to interrupt. What is the music concert that you would have like for pure music? So well, by the way, can I just add one little thing about the the Altamont? Yeah. So while I was growing up there in high school, I don't know over the intervening, you know, You know, 10, 15 years after that all disaster to ultimate concert, they somehow started stacking up tires there. And while I was in high school, somehow they caught on fire. Oh, my God, this massive fire of, you know, you can't. Yeah. Like, like, yeah, it was, I think it was like months. They could not. So that site is just a disaster. Just stay away from it. Okay. Anyway. Um, so.

Musically, I am actually a big opera fan. As you know, from the last time I was on, you asked me a question. My tastes are extraordinarily diverse. If I could do any, any single concert other than Woodstock for the music, I would want to go see Maria Callas, do Tusca, my favorite opera and She has a particularly famous one. There was a recording from it in 1953 at La Scala. So 1953 La Scala Maria Callas as Tosca. So that was quite a barbell, a barbell call there. Before we let you go, why didn't you tell people about your institutional product, your free product? Like give us a whole spinole. Okay, so thematic markets, which is my main business, is institutional grade research that covers the global political economy and markets. So I took a very integrated approach looking at politics, geopolitics, fundamental economic analysis, and financial analysis of all global markets.

I'm a one-man band, so that doesn't mean I cover everything all the time. I go to what looks interesting and find anomalies that most people seem to be missing. One of the other problems with being a one-man band is that I have way more ideas than I have time to finish, which I think is a similar problem for you. And so at my wife's suggestion, I created a free product called Seriously Marvin. You always say it, but you don't use the right intonation. Seriously Marvin? Yes, exactly. And that is the way she said it.

And it's like, and it is exactly that. It is my unconventional views on, you know, sort of markets and economics and policy issues.

Um, that I haven't had time to fully research and so I'm just sort of throw throwing out there. And sometimes I come back to them in my, my thematic markets research, but some it's just, you know, there. So, but that's free. You can reach both on sub-stack or you can, um, get them directly from my website, thematicmarkets.com. Um, you can also follow me. Um, I'm, uh, you know, uh, active posting on X. Um, and, um, uh, sub-stacks notes and on LinkedIn. Great. Marvin, this has been a lot of fun. Thank you very much for your time, buddy. Hey, thank you for having me on. I very much enjoyed it. And, uh, I look forward to coming on again. It's always fun to be on your podcast. Really fantastic. Hopefully your calls will be as good as last time, buddy. Hopefully that will repeat it. Thanks again. Let's hope so. Thank you. Bye.